

Daily Need to Know

Friday, 28 August 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED 16:00 ET THU 27 AUG = 04:00 GMT+8, 2H 07M BEFORE CAPTURE			
S&P 500	7,730.99	▲ +0.72%	+55.29 pts. Range 7,689.89–7,741.27, closed in the top decile. Ten of eleven sectors fell. 1.1% below the 52-week high of 7,816.70.
Nasdaq Composite	26,541.35	▲ +1.57%	+411.16 pts, the day's real move. Closed 12 pts off the session high. Still 2.4% below its 52-week high of 27,190.21.
Dow Jones Industrial	53,569.44	▲ +0.20%	+105.56 pts — and Salesforce alone rose 22.6%. Strip that out and the Dow was materially lower.
Russell 2000	3,014.34	▲ +0.28%	+8.44 pts. Held 3,000. Sits at just 44.9% of Hedgeye's risk range — the weakest positioning of the four indices.
Philadelphia SOX	11,882.16	▲ +2.33%	Best major index. Opened at 11,870 and never traded below 11,690. Still 18.9% below its 52-week high — a 2.3% day inside a deep drawdown.
NYSE Composite	24,649.03	▼ −0.38%	Down. The broadest US measure fell while the S&P rose. This is the single most important row in the table.
INDEX FUTURES — GLOBEX REOPENED 06:00 GMT+8, 7 MIN BEFORE CAPTURE; CHANGE IS THURSDAY'S SESSION, NOT OVERNIGHT			
ES (E-mini S&P)	7,742.50	▲ +0.68%	Basis to cash +11.51 (+0.15%) — normal carry, confirming the cash print is a true settle. Volume 1.28m, 110% of the 10-day average.
NQ (E-mini Nasdaq-100)	29,695.75	▲ +1.39%	Session range 29,401.75–29,708.00; finished at the top of it. Volume 111% of the 10-day average — real participation, not a drift.
YM (E-mini Dow)	53,621.00	▲ +0.19%	Basis +51.56 (+0.10%). Volume dead on the 10-day average at 100.1% — the Dow was a spectator.
RTY (E-mini Russell)	3,019.00	▲ +0.30%	Basis +4.66 (+0.16%). Opened 3,016.90, low 3,002.10 — small caps were offered all session and closed only just up.
US TREASURY YIELDS — CASH, SETTLED THURSDAY			
US 10-year	4.676%	▲ +2.7bp	Yields rose across the curve <i>with</i> equities. Only 7.2bp below the 52-week high of 4.748%.
US 30-year	5.195%	▲ +2.3bp	Above 5.19%, 14.2bp from its 52-week high. The long end is the constraint on everything in this document.
US 5-year	4.400%	▲ +4.0bp	Biggest move on the curve. The belly led the sell-off — a policy-expectations move, not a term-premium one.
US 2-year	4.234%	▲ +2.5bp	Reclaimed the 4.24%/4.21% trade support Hedgeye flagged as broken on Wednesday. 10s2s +44.2bp.
US 13-week bill	3.776%	▼ −0.6bp	The only yield that fell. 10y–3m spread +90.0bp, the curve steepening from the front.
ENERGY FUTURES — THURSDAY'S GLOBEX SESSION (CONTINUOUS CONTRACT)			
WTI crude	\$83.53	▲ +1.58%	Range \$80.65–\$84.27. Reversed a two-day, 8–9% breakdown after a WSJ report that Trump will not return to June's Iran memorandum.
Brent crude	\$88.52	▲ +0.77%	Reuters reported Brent up more than \$2 intraday. Six months into a shut Strait of Hormuz.
Natural gas	\$2.914	▲ +2.53%	Pushed to 87.1% of its Hedgeye band and the TREND signal went from bearish to neutral on the same day.
RBOB gasoline	\$2.9904	▲ +1.01%	Retail regular was \$4.085/gal on 24 Aug, up \$0.938 year-on-year. Diesel is up \$1.944 y/y. This is a live inflation channel.
METALS — SPOT, THE SERIES HEDGEYE'S BANDS NAME; ROLLED 05:00 GMT+8, ~1H 07M OF NEW SESSION ONLY			
Gold (spot)	\$4,602.01	◆ +0.02%	Change is one hour of trade — noise, not a move. Thursday's COMEX future settled +0.23%. 58.8% of its band.
Silver (spot)	\$69.21	◆ −0.07%	Spot looks flat only because its session is 67 minutes old. Thursday's COMEX silver future rose 2.07% — that is the real day.
Copper (spot)	\$6.5519	◆ −0.04%	One-hour range of 0.3 cents. The only band Hedgeye moved <i>down</i> yesterday: floor and ceiling both cut ~3–4c.
FX — SPOT, ROLLED 05:00 GMT+8; ~1H 07M OF SESSION, CHANGES ARE NOISE			
DX1	99.129	◆ −0.00%	Range 99.07–99.26. Sits 55.6% through a band Hedgeye still labels bearish TREND. Keith remains short the dollar.

USD/JPY	159.39	◆ 0.00%	A 12-pip hour. The level, not the change, is the point: 159 with the US 30-year at 5.20%. Hedgeye is long yen.
USD/KRW	1,381.73	▼ -0.28%	Won firmer into Seoul's open — the cleanest FX read-through from the semiconductor tape.
VOLATILITY & CRYPTO — VIX SETTLED THURSDAY; CRYPTO GENUINELY LIVE 24/7			
VIX	14.50	▼ -4.73%	Range 14.42-15.13. Just 18.7% off its band floor and 1.12 above the 52-week low of 13.38. Very little cushion left.
Bitcoin	\$80,290	▲ +1.62%	The one truly live row. 36.4% below its 52-week high of \$126,230, and \$2,710 under the \$83-86k ceiling Hedgeye's Crypto Quant defines.

Colour key: ▲ green = up · ▼ red = down · ◆ amber = change is a session-window artefact and should not be read as a move. Reconciliation: all four cash indices tie exactly to Wednesday's independently sourced closes (S&P 7,675.70 + 55.29 = 7,730.99; Dow 53,463.88 + 105.56 = 53,569.44; Nasdaq 26,130.20 + 411.16 = 26,541.35; Russell 3,005.90 + 8.44 = 3,014.34). Treasury moves are computed from TradingView's own open-to-last on the settled bar. Full detail in section 18.

TL;DR

One stock delivered the index. NVIDIA rose **8.74%** to **\$227.98** and added **\$443bn** of market capitalisation. At the 7.3% S&P weight Keith McCullough cited on Wednesday, that single position contributed **+0.64%** of the index's **+0.72%** — roughly nine-tenths of the day. Ten of eleven sectors fell, the equal-weight S&P fell 0.30%, and the NYSE Composite fell 0.38%.

The breadth is worse than the headline and the tape knows it. Mag7 rose 2.24% on a cap-weighted basis; **excluding NVIDIA it rose 0.26%**. The S&P beat its own equal-weight sibling by 1.02 points. That is not a broadening rally, it is a single print being distributed across an index.

Hedgeye upgraded four TREND signals in one session — Nasdaq Composite neutral→**bullish**, Shanghai bearish→**neutral**, WTI bearish→**neutral**, natural gas bearish→**neutral** — while cutting the S&P band ceiling 18 points. The machine got more bullish on tech and less bullish on the index.

Today is the event. Fed Chair **Kevin Warsh** gives his first Jackson Hole address at **22:00 GMT+8**, with the funds rate at 3.50-3.75%, July headline PCE at **3.7%** against a 3.6% consensus, and futures pricing a meaningful chance of a **hike** by year-end. The 30-year at 5.195% is the scoreboard.

2 The big picture — what it means

A 0.72% index gain that ten of eleven sectors did not participate in is a distribution pattern, not a continuation pattern. Only technology rose. Consumer staples fell 1.38%, health care 1.13%, consumer discretionary 1.09%, communication services 1.07%, real estate 0.95%. The equal-weight S&P fell 0.30% and the NYSE Composite — the broadest tape in the country — fell 0.38%. The index went up because roughly \$443bn of NVIDIA market capitalisation was created in a single session and mechanically dragged a cap-weighted average behind it. Strip that one position out and Thursday was a down day for almost everything an investor actually owns.

NVIDIA's quarter was genuinely enormous, and the guidance was the part that mattered. Q2 FY2027 revenue was **\$96.22bn** against roughly \$92.3bn expected, up 106% year on year; non-GAAP EPS **\$2.22** against \$2.09; data-centre revenue **\$89.0bn** against \$85.86bn. But the stock moved on the outlook: Q3 revenue guided to **\$108bn ±2%** versus about \$104.9bn consensus, and — the real surprise — FY2028 revenue growth guided to roughly **70%** when Morgan Stanley was at 52% and consensus nearer 40%. Jensen Huang's framing was that "compute is revenue". The company also said it assumes **no data-centre compute revenue from China** in the outlook, which makes the number both more impressive and more exposed to a policy reversal in either direction.

Read the gross-margin line before celebrating. NVIDIA delivered 75.0% gross margin and then guided Q3 down to **74.0% ±50bp**, with sell-side notes pointing to 71-72% by Q4, explicitly on memory pricing. Huang separately warned that memory shortages could curb the industry's growth. Purchase commitments rose to **\$279bn from \$119bn** quarter on quarter and inventories climbed to \$31.6bn from \$21.4bn. This is a company buying supply aggressively into a shortage and telling you it will cost margin. The memory complex did not celebrate: Micron fell 0.32% after a \$62 intraday range, Western Digital fell 1.47%, Sandisk fell 0.96%. Higher memory prices should be good for those names. They did not trade that way, and NVIDIA's new multi-year memory partnership with SK hynix is one plausible reason we cannot yet evidence.

The semiconductor rally is a rally inside a bear market. The SOX rose 2.33% and remains **18.9% below its 52-week high**. NVIDIA is 3.6% off its own high; almost nothing else is close. Broadcom is 24.9% below its high, AMD 18.5%, Micron 25.5%, Applied Materials 34.8%, Intel 35.3%, Western Digital 42.2%, Sandisk 36.9%. Oracle — the purest listed proxy for the AI capital-expenditure build — closed at \$151.94, **56.1% below its 52-week high of \$345.72**, and that was a day it rose 2.06%. The market is paying for the one company converting AI capital expenditure into cash and repricing downward almost everyone selling into it.

Software, not semiconductors, was where the money was actually made. Salesforce rose **22.58%** on a quarter that beat adjusted EPS \$5.90 against \$3.27 and raised full-year guidance to \$16.67-16.71 against \$14.14 — its best single day in six years, and the largest contributor to a Dow that still managed only +0.20%. Okta rose 28.63%, Veeva 19%, CrowdStrike about 17%, ServiceNow 10.04%. Reuters credited the move with calming fears that AI

would disintermediate enterprise software. This matters for the section that follows, because Hedgeye published the trade before it happened.

Bonds sold off into an equity rally, and that is the uncomfortable fact. Five-year yields rose 4.0bp, tens 2.7bp, thirties 2.3bp; only the three-month bill fell. Jobless claims at **203,000** beat a 208,000 consensus and continuing claims at 1.778m beat 1.790m — a labour market that is not cracking, which in the current regime is a hawkish input rather than a comforting one. With July headline PCE at 3.7% against a 3.6% consensus, two Fed officials warning about sticky inflation on the day, and the funds rate at 3.50–3.75%, the debate at Jackson Hole is about whether to *raise*. Equity investors bought a semiconductor forecast; the bond market did not change its mind about anything.

Volatility has almost no room left to fall, and that is a position, not a comfort. The VIX closed at 14.50, down 4.73%, sitting **18.7% off the floor** of Hedgeye's 14.07–16.37 band and 1.12 points above its 52-week low. The MOVE index is at 69.86, deep in its own range. A market that has priced out volatility ahead of a Fed Chair's debut Jackson Hole speech, with a live shooting conflict closing the Strait of Hormuz and semiconductor tariffs under active consideration in Washington, is not being compensated much for being wrong.

3 Rates, currencies & commodities

- **The belly led.** Five-year yields rose 4.0bp to 4.400%, more than tens (+2.7bp) or thirties (+2.3bp). That shape is a policy-expectations move — the market marking up the odds of tighter policy — rather than a term-premium or supply story. A \$44bn seven-year auction cleared at 13:00 ET on the same day.
- **The 30-year at 5.195% is the number that constrains everything else.** It sits 14.2bp from its 52-week high. Since Kevin Warsh was sworn in on 22 May the two-year is +11bp, the ten-year +17.6bp and the thirty-year +21.1bp — the long end has moved most under the new chair, and the Treasury has already intervened twice in markets this year, once via a Fed facility to support the yen and once to support long bonds.
- **Curve shape:** 10s2s +44.2bp, 30s10s +51.9bp, 10y-3m +90.0bp. Positively sloped throughout and steepening from the front as the bill yield slips — consistent with a market that expects the front end to be anchored and the term structure to bear the inflation risk.
- **The dollar did nothing and Hedgeye is still short it.** DXY at 99.129 is 55.6% through a band whose TREND signal remains **bearish**. Keith McCullough is long the euro, the yen and — new as of Wednesday's weakness — the Canadian dollar, having said CAD sat closest to the low end of its range.
- **USD/JPY at 159.39 is the quiet risk.** The pair is 12 pips into a fresh session, so today's change is meaningless, but the level is not: 159 against a US 30-year at 5.20% is precisely the configuration that produced official intervention earlier this year.
- **Crude reversed on a headline, not on inventories.** WTI rose 1.58% to \$83.53 after a Wall Street Journal report that President Trump is not interested in returning to the terms of June's memorandum with Iran. That undid most of a two-day, 8–9% breakdown driven by softer-than-feared sanctions and Iran–Oman talks on a temporary joint maritime corridor through Hormuz. EIA data for the week to 21 August showed commercial crude up just 0.1m barrels to 428.9m, gasoline down 2.5m and distillate down 2.2m — **distillate is 14% below its five-year average** — with refinery utilisation at 97.4%.
- **The Strategic Petroleum Reserve is the under-covered number.** It stands at **289.7m barrels** against 404.2m a year ago — a 114.5m barrel drawdown in twelve months, six months into a conflict that has closed the Strait of Hormuz. Retail petrol at \$4.085/gal is up \$0.938 year on year and diesel is up \$1.944.
- **Precious metals: read the futures, not the spot change.** Spot gold and silver rolled sessions an hour before capture, so their change columns are noise. Thursday's COMEX settles are the day: **silver +2.07%**, gold +0.23%. Hedgeye raised the gold band floor 24 points and the silver band a full dollar at both ends, and Keith disclosed buying more gold into Wednesday's close after a 1.5% decline.
- **Copper is the dissenter.** It is the only instrument whose band Hedgeye moved *down* yesterday — floor from 6.50 to 6.46, ceiling from 6.75 to 6.72 — leaving spot at just 35.3% of the range. Hedgeye remains long copper *miners* (ICOP) while the metal's own band shifts against it.

4 Hedgeye — regime, risk ranges & the Quad path

DASHBOARD	READING	NOTE
Quad regime	#Quad1 ("Dollylocks")	Inflation rate-of-change slowing, real growth rate-of-change accelerating. Printed path: July monthly #Quad4 → September #Quad1 . No three-period path notation (e.g. 3→1→2) was printed in either Early Look or either Macro Show — see gaps.
Live risk-range set	Early Look, 27 Aug 19:54 GMT+8	"Claude Says #Quad1", Keith McCullough. Published <i>before</i> Thursday's cash session, so the settled prices below are a test of the bands, not a restatement of them.
Superseded by	Monday's Early Look	Hedgeye does not publish at weekends. Tonight's set, if any, lands ~19:25-21:00 GMT+8.
TREND changes	Four upgrades, zero downgrades	COMPQ neutral→bullish · SSEC bearish→neutral · WTIC bearish→neutral · NATGAS bearish→neutral.
Volatility bucket	Nasdaq joins	Keith: VXN below 22 puts the Nasdaq in the "Investable Bucket" alongside the S&P 500 and Russell 2000.
Bond volatility	MOVE 69.86	Range 55.77-115.02 over 52 weeks. Consistent with the sub-75 bond-vol regime the Quad1 call rests on.

Risk Range™ Signals — measured on the series Hedgeye names, versus the prior session's bands

INSTRUMENT	RANGE (27 AUG)	TREND	LIVE / SETTLED	WHERE IT STANDS, AND HOW THE BAND MOVED
UST10Y	4.61-4.74	bullish	4.676	50.8% of band — dead centre. Band shifted up 1bp at both ends; width unchanged.
HYG	79.53-80.00	bullish	79.87	72.3%. Ceiling +0.01 to a round 80.00. High yield printed an all-time high on Tuesday — Keith's core #Quad1 credit evidence.
LQD	105.6-107.1	bearish	106.73	75.3%. Floor +0.10, band narrowed 0.10. Still the only bearish-TREND credit line.
SPX	7610-7801	bullish	7,730.99	63.3%. Ceiling cut 18 points (7819→7801), floor -1; band narrowed 17. The index closed 70 points below a ceiling that just came down.
COMPQ	25776-26799	bullish	26,541.35	74.8%. TREND upgraded neutral→bullish . Closed 258 points below the ceiling. Band width essentially unchanged.
RUT	2965-3075	bullish	3,014.34	44.9% — the weakest US index positioning. Floor cut 12, ceiling cut 5, <i>band widened</i> 7. Lower and wider is a deterioration.
XLV	168-179	bullish	171.58	32.5%. Floor cut 1, band widened 1. Health care fell 1.13%; Keith's response was "now you get to buy more health care."
RSP	220.00-225.00	bullish	221.45	29.0%. Whole band lifted \$1.00 at both ends while equal-weight fell 0.30% — price moved against a band that moved up.
IGV	100.00-106.00	bullish	—	Floor raised \$1.00, band narrowed to 6. Not in the capture; the software complex rose hard on Thursday.
SSEC	3856-3999	neutral	3,956.57	70.3% (prior close). TREND upgraded bearish→neutral , and Keith separately said China moved back to bullish TRADE — "a new development".
NIKK	64008-69396	bullish	66,131.76	39.4% (prior close). Floor cut 729 , ceiling raised 185 — band widened 914 points , the largest widening in the set. Rising uncertainty, not rising conviction.
DAX	25925-26499	bullish	26,367.24	77.0%. Band lifted at both ends and narrowed 15. Closest of the majors to its ceiling.
VIX	14.07-16.37	bearish	14.50	18.7% — near the floor. Floor +0.06, ceiling -0.11, band narrowed 0.17. Compressing volatility into a Fed Chair speech.
USD	98.30-99.79	bearish	99.129	55.6%. Band widened 0.08. Keith stays short the dollar.
WTIC	80.34-88.00	neutral	83.53	41.6%. TREND upgraded bearish→neutral ; floor raised \$1.25, ceiling raised \$0.99. Wednesday's \$79.09 buy level was withdrawn before it was reached.
NATGAS	2.67-2.95	neutral	2.914	87.1% — nearest its ceiling of anything in the table. TREND upgraded bearish→neutral , ceiling raised 5c.
GOLD (spot)	4389-4751	bullish	4,602.01	58.8%. Floor raised 24 , ceiling +1, band narrowed 23 — the band tightening upward beneath the price.
COPPER (spot)	6.46-6.72	bullish	6.5519	35.3%. The only band lowered — floor -4c, ceiling -3c.
SILVER (spot)	65-72	bullish	69.21	60.1%. Whole band lifted \$1.00 at both ends, width unchanged. Thursday's future settled +2.07%.

Bands are the 27 Aug Early Look, diffed against the 26 Aug Early Look ("#Quad1 Dollylocks", 26 Aug 07:52 EDT / 19:52 GMT+8). Metals measured on spot (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD), energy on the continuous contract (NYMEX:CL1!, NYMEX:NG1!) — the series Hedgeye names. Percentages are position within the band, floor = 0%. SSEC, NIKK and DAX are prior-session closes; their cash markets were shut at capture.

What Keith actually said

- On the NVIDIA setup, published *before* the move — Early Look, 27 Aug 19:54 GMT+8: "IF it holds @Hedgeye TREND Signal Support of \$207... and IF it breaks out to Bullish @Hedgeye TRADE (trigger level = \$218)... THEN I'm a buyer of NVDA and certain Semis with a \$218 stop on NVDA." NVIDIA closed at **\$227.98**, \$9.98 above the trigger and at 91.2% of its \$207-230 range. Both conditions were met intraday.
- On why he was not in it beforehand — Early Look, 27 Aug: "Why 'bet' where everyone in the casino is betting when I can just keep letting hot hands ride at the Healthcare, Software, etc. tables?"
- On method — Early Look, 27 Aug: "A DCF model tells you what something is 'worth' in a vacuum. The fractal tells you what the pattern is becoming." And the leadoff, quoting Claude Shannon: "Noise is interference."
- On the software trade, timestamped and specific — Early Look, 27 Aug: "I've been long OKTA via our quantamental Signal Strength Stocks product since May 26, 2026." Okta closed **+28.63%** that session; CrowdStrike about +17%. He listed CRWD, OKTA, SNOW and PANW.
- On credit, the day before — Early Look, 26 Aug 19:52 GMT+8: "Our #Quad1 Credit Asset Allocation pivot to High Yield (HYG) printed an all-time high... All-time remains a very long time."
- On the earnings backdrop — Early Look, 26 Aug: "468 of the SP500's companies have reported an epic year-over-year EPS acceleration of +50%."
- *Attributed summary, not quotation* — The Macro Show, 27 Aug 22:36 GMT+8. These notes are AI-generated and carry their own error caveat, so they are reported outside quotation marks. Keith said NVIDIA held \$207 TREND then broke \$218 TRADE, putting roughly \$230 in play, and that the Alpha Code had defined where momentum would accelerate before the print. He said he likes **software more than semiconductors** despite the improving semi setup, and is long OKTA, CRWD, SNOW, PANW, DT and MSFT. Apple has returned to bullish TRADE and TREND; Google remains bearish TREND and Hedgeye has exited it. Tesla remains a **short**, as do Utilities. He bought more gold into Wednesday's close after a ~1.5% fall and named **platinum** as the next thing he wants to buy. He sold the entire Philippines position on a TREND break. He added a new **Canadian dollar** position. Bitcoin remains bullish TRADE and TREND.
- *Attributed summary* — The Macro Show, 26 Aug 22:38 GMT+8, on oil: Keith said WTI broke both Alpha Code levels, 84 trade and 83 trend, and that once both broke "the floodgates opened". He flagged \$79.09 as the level at which he would add Quad1 commodity exposure. **That level was never reached**; WTI closed Thursday at \$83.53 and the band floor was raised to \$80.34 the next morning.
- *Attributed summary* — The Macro Show, 26 Aug: Keith said the Nasdaq was showing a lower high and was *not* the preferred long, and that he had no position in NVIDIA into the print, calling the earnings catalyst a "nothing burger" and noting NVIDIA is a 7.3% S&P weight. **The COMPQ TREND signal was upgraded to bullish the following morning**. The sequence is worth holding onto: the process changed its mind in one session, on price.

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
NVIDIA	227.98	▲ +8.74%	\$5.517T	Added ~\$443bn in a session. 3.6% off its 52-week high — the only large semiconductor anywhere near one. 91.2% of its \$207-230 band.
Apple	314.58	▲ +0.36%	\$4.591T	Back to bullish TRADE and TREND per Hedgeye after threatening a breakdown. 8.7% below its high.
Alphabet	340.65	▼ -0.39%	\$4.150T	Bearish TREND; Hedgeye has exited the position entirely. 16.6% below its high of \$408.61.
Microsoft	505.06	▲ +1.75%	\$3.750T	Range \$490.08-\$506.48 — a 3.3% intraday swing, closing at the top. Still a Hedgeye long. 8.8% below its high.
Amazon	256.26	▼ -1.54%	\$2.764T	Worst of the seven, on the day Bloomberg reported AWS will buy 2m more NVIDIA GPUs. The buyer of AI compute fell; the seller rose 8.7%.
Broadcom*	371.54	▲ +4.49%	\$1.768T	Second-best large semi. Reports 2 September. 24.9% below its high despite the move.
Meta	571.10	▼ -0.87%	\$1.455T	Range \$567.62-\$588.39 and closed near the low. 27.8% below its 52-week high — the worst drawdown in the group.
Tesla	354.81	▲ +2.60%	\$1.401T	Rose on a day Hedgeye reiterated it is short . 28.9% below its high of \$498.83.

*Broadcom is not a Magnificent Seven constituent and is shown for semiconductor context. Cap-weighted, the seven true constituents rose +2.24%; **excluding NVIDIA they rose +0.26%**. NVIDIA is 23.3% of the group's \$23.63tn combined capitalisation. Market caps are TradingView's market_cap_basic at capture and move with price.

6 Positioning & options

- **Implied volatility was the tell going in.** Hedgeye recorded NVIDIA's implied volatility running at a **10% premium** to 30-day realised into the print, after an 8% drawdown that tested \$207 trend support, with 11% of immediate-term upside in the risk range from \$208. The event was priced expensively and resolved upward — the classic post-event volatility crush.

- **The VIX has run out of room.** At 14.50 it is 18.7% off its band floor, 0.43 above the floor itself and 1.12 above the 52-week low. Hedgeye's TREND signal on the VIX is **bearish** — they expect it lower — but the asymmetry into a Fed Chair speech is unattractive.
- **Nasdaq volatility joining the "Investable Bucket"** is the positioning change that matters. Keith's stated threshold is VXN below 22; the Macro Show deck called it "very bullish" for the software longs. Small caps and the S&P were already in that bucket.
- **Volume confirms the tech bid but not the tape.** S&P cash volume ran 110.3% of the 10-day average and NQ futures 111.1%, but YM futures came in at 100.1% — exactly average. Money moved into the Nasdaq complex; it did not move into the market.
- **Credit is not corroborating the equity anxiety.** HYG closed at 79.87, 72.3% of its band, having printed an all-time high on Tuesday; LQD at 106.73 sits at 75.3%. Neither budged on Thursday (−0.04% and −0.05%). Credit is calm, which is Hedgeye's central evidence for #Quad1 and the strongest argument against reading Thursday's breadth as distribution.
- **Hedgeye's book, as disclosed:** long software (OKTA, CRWD, SNOW, PANW, DT, IGV), Microsoft, health care (XLV, FXH), high yield, gold, silver, copper miners (ICOP), New Zealand, euro, yen and now the Canadian dollar. Short Tesla, Utilities and the US dollar. Exited Alphabet and the Philippines. Signal Strength Stocks moved to 83 names on Thursday, adding GSL and BBY, removing SPHR, HQY and PCAR.
- **The under-covered de-risking is in AI power services.** Piper Sandler flagged data-centre moratoriums in Texas, Pennsylvania and Michigan, with the group selling off hard over the fortnight to 27 August: SEI −21% since 17 August, LBRT −17%, PUMP −17%, KGS −9%, AESI −6%. Their note argued data centres will be a political issue into the November midterms.

7 Sector rotation — leaders & laggards

SPDR SECTOR	LAST	DAY	NOTE
Technology · XLK	188.61	▲ +3.16%	The only sector up, and up hugely. Closed \$0.13 off the session high.
Energy · XLE	62.29	▼ −0.22%	Best of the losers. Fell despite WTI +1.58% — the equity did not believe the barrel.
Financials · XLF	57.88	▼ −0.65%	Sits 0.9% below its 52-week high of 58.41, the closest of any sector to its own peak.
Utilities · XLU	43.18	▼ −0.76%	A Hedgeye short. Keith used the recent bounce to short into rather than chase.
Materials · XLB	53.23	▼ −0.82%	Copper spot slipped and the sector followed.
Industrials · XLI	178.80	▼ −0.85%	Range 178.18-180.49; closed near the low.
Communication svcs · XLC	111.41	▼ −1.07%	Alphabet, Meta and Netflix all lower. Closed \$0.04 off the session low.
Cons. discretionary · XLY	115.88	▼ −1.09%	Fell even with Tesla +2.60% — the rest of the sector was worse than the headline.
Health care · XLV	171.58	▼ −1.13%	Hedgeye's #1 sector long, pulling back from the top of its range. Keith: "now you get to buy more health care."
Real estate · XLRE	44.66	▼ −0.95%	Long yields up 2.3bp at the 30-year; rate-sensitives paid for it.
Cons. staples · XLP	85.08	▼ −1.38%	Worst sector. Defensives were sold hardest on a day the index rose — a genuine risk-rotation underneath the narrow tape.

- **Leaders:** technology, and nothing else. XLK +3.16% against a −0.89% average across the other ten sectors is a 4.05-point dispersion in a single session.
- **Laggards:** consumer staples −1.38%, health care −1.13%, consumer discretionary −1.09%. The bond-proxy and defensive complex was liquidated.
- **The rotation reads risk-on, and that partially rescues the breadth story.** If Thursday were distribution, defensives would have caught a bid. Staples were the worst sector and utilities and real estate were both down. What happened looks more like funds being rotated out of defensives and into a single technology print than like broad de-risking — which is roughly what Keith described as his own process on the Macro Show: taking profits from extended winners to fund better entries.
- **But equal-weight still fell.** RSP −0.30% and the NYSE Composite −0.38% mean the money that left defensives did not spread out. It went to one place.

8 Forward — futures & the week ahead

Globex reopened at 06:00 GMT+8, seven minutes before this capture, so there is no meaningful overnight tape to report and the futures changes above belong to Thursday's session. ES sits at 7,742.50 on a basis of +11.51 to cash, NQ at 29,695.75 having closed its Thursday session 12 points off the high, YM at 53,621.00 and RTY at 3,019.00. Volumes through Thursday ran 110% of the 10-day average in ES and 111% in NQ against 100.1% in YM — the participation was concentrated in the technology complex and did not extend to the Dow. The one genuinely live market is crypto: Bitcoin at **\$80,290**, up 1.62%, having ranged \$78,581-\$80,817, and Ether at \$2,511, up 0.19%. Everything else in this document is either a settle or a few minutes old.

DAY (GMT+8)	KEY EVENTS
Friday 28 Aug today	21:45 Chicago PMI (August) · 22:00 University of Michigan consumer sentiment, final (August) · 22:00 Fed Chair Kevin Warsh speaks at Jackson Hole — his first as chair, and per Axios the only broadcast portion of the symposium. No index-relevant earnings scheduled. Consensus forecasts for the two data points were not obtainable this morning.
Mon 31 Aug	Month-end. Asian month-end rebalancing flows; no major scheduled US release confirmed at time of writing.
Tue 1 Sep	Start of the September quarter for the Quad framework — the month Hedgeye's #Quad1 call is explicitly about.
Wed 2 Sep	Broadcom (AVGO) reports. Guidance already flagged Q3 revenue +84% to \$29.4bn. The most consequential single read-through for the semiconductor complex after NVIDIA.
15-16 Sep	FOMC. Reuters reports futures leaning against an increase at this meeting but pricing strong odds of one by year-end. Several officials have recently called for hikes.

Calendar times converted from ET at +12h (US daylight time). The Jackson Hole symposium began Thursday 27 August at Jackson Lake Lodge; the 2026 theme is "Financial Innovation: Implications for Payments and Policy". Warsh speaks 08:00 Mountain / 10:00 ET.

9 Corporate news

- **NVIDIA (Q2 FY2027, reported after Wednesday's close).** Revenue **\$96.22bn** vs ~\$92.3bn consensus, +106% y/y; non-GAAP EPS **\$2.22** vs \$2.09; data centre **\$89.0bn** vs \$85.86bn; gross margin 75.0%. Q3 guided to **\$108bn ±2%** vs ~\$104.9bn, gross margin **74.0% ±50bp**. FY2028 revenue growth guided to **~70%** against a Street nearer 40-52%. \$26.0bn returned to shareholders in the quarter; \$99.0bn buyback authorisation remaining. Purchase commitments **\$279bn, up from \$119bn q/q**. The company assumes no China data-centre compute revenue in the outlook.
- **Salesforce +22.58% to \$252.05** — Q2 adjusted EPS \$5.90 vs \$3.27 expected, revenue \$11.35bn vs \$11.32bn, full-year adjusted EPS guidance \$16.67-16.71 vs \$14.14. Best single day in six years and the largest positive contributor to the Dow. Announced an expanded partnership with Anthropic branded "Claudeforce".
- **The software complex re-rated violently.** Okta **+28.63%** (Q2 EPS \$1.05 vs \$0.96, revenue \$805m vs \$793m, full-year raised); Veeva +19%; CrowdStrike ~+17% (Q2 EPS \$0.31 vs \$0.29, net-new-ARR growth guidance raised to 34% at the midpoint); ServiceNow +10.04%; Tenable +11% on an S&P SmallCap 600 addition effective 31 August.
- **After the close Thursday, the pattern reversed: good numbers, weak guidance, lower stocks.** Workday **-5%** despite Q2 revenue \$2.649bn (+12.8%), adjusted EPS \$2.75 and full-year subscription guidance raised to \$9.94-9.95bn — AI now drives over 25% of new annual contract value. Autodesk **-6%** on a full-year EPS midpoint below the Street. Rubrik **-10%** on a beat-and-raise (EPS \$0.20 vs \$0.04). SentinelOne **-3%** on full-year EPS guidance of \$0.30-0.32 against \$0.35. Marvell **-2%** despite revenue \$2.739bn (+37%), data-centre growth accelerating to +46% and Q3 guided to \$3.15bn against \$3.04bn consensus.
- **Affirm surged** on fiscal Q4 EPS of **\$4.62** against \$0.85 expected, revenue \$1.17bn, with Q1 revenue guided to \$1.19-1.22bn. Gap **+9%** (Q2 EPS \$0.52 on \$3.7bn, full-year EPS guidance \$2.35-2.45). Ultra **+2%** (Q2 EPS \$6.55 vs \$6.17).
- **The losers were consumer and hardware.** Build-A-Bear **-23%**, Wendy's **-12%** after Trian said it has no plans for a take-private bid, Hormel **-8%**, **HP -7%** on PC and print margins hit by memory cost inflation, Moderna **-4%** on a \$2bn convertible.
- **Tapestry fell 5.38% to \$123.24** and we could not verify a stock-specific catalyst dated 27 August. The verified event was 13 August, when full-year guidance of \$8.4-8.5bn sales and \$7.80-7.90 adjusted EPS landed roughly in line and the stock fell as much as 17%. It has derated from an all-time closing high of \$164.78 on 10 August. Thursday's fall is most plausibly part of the broad ex-technology de-risking, but we are not asserting a cause.
- **Netflix's ~\$80 price is correct and not a typographical error.** The company completed a ten-for-one forward stock split with split-adjusted trading from 17 November 2025. It fell 1.99% on Thursday.

10 Macro data

- **Initial jobless claims (week to 22 Aug): 203,000 actual vs 208,000 consensus, prior 207,000** (revised up from 206,000). The four-week moving average rose to 205,500 from 204,250. **Continuing claims 1.778m vs 1.790m consensus, prior 1.796m.** A second consecutive fall and the lowest in a month. In a regime where the Fed is debating hikes, a labour market this firm is a hawkish data point, not a reassuring one.
- **Advance goods trade deficit (July): \$118.8bn** — the largest monthly shortfall since the tariff-driven record of March 2025. Imports rose 3.7% to \$318.2bn, with **capital goods imports up 11.3%** as computers, semiconductors, industrial machinery and data-centre infrastructure were pulled forward ahead of a 24 July tariff deadline. Consumer goods +0.1%, industrial supplies -3.9%, autos -1.6%. A consensus forecast for this release could not be obtained.
- **July PCE, released Wednesday 26 August — the week's real macro story.** Headline **+3.7% y/y against a 3.6% consensus**, unchanged from June and down from 4.1% in May. Core **+3.3% y/y**, in line. Personal income +0.4% and spending +0.2%, both stronger than expected. Barclays attributed the upside surprise largely to "other

services" plus health care and recreation services, and maintained a call for the FOMC to stay on hold this year. **Headline inflation running at 3.7% with the funds rate at 3.50-3.75% leaves essentially no real policy rate.**

- **Two Fed officials warned on inflation on Thursday.** Kansas City's Jeffrey Schmid, on CNBC from Jackson Hole, said inflation is "still stubborn and it's still sticky and we've got to continue to find ways to break through", and — pointedly — "I don't know what we're restricting currently with the rate policy that we're at today." On September he said he needs "a little bit more information". Chicago's Austan Goolsbee called five-plus years of above-target inflation partly "disturbing" and said "my biggest fear in the short run continues to be that inflation is not under control", flagging energy costs tied to the war in Iran and tariff oscillation.
- **The Kansas City Fed manufacturing survey for August was scheduled for Thursday but we could not obtain the release.** Search returned the August 2025 edition, which we have deliberately not used. For context only, the verified June 2026 composite was 11.
- **Today's US data:** Chicago PMI at 21:45 GMT+8 and the final University of Michigan consumer sentiment reading at 22:00 GMT+8. Consensus forecasts for both were unobtainable this morning, which is a real gap given that the Michigan inflation-expectations series is the sort of number a hawkish Fed cites. **PCE is not due today** — it was Wednesday's release.

11 Geopolitics

- **◆ The dominant fact is a live US-Iran conflict, six months old, with the Strait of Hormuz still closed.** This is the backdrop to every commodity and inflation number in this brief and it is routinely under-weighted in market commentary.
- **▲ Oil reversed higher on Thursday** after a Wall Street Journal report, relayed by Reuters, that President Trump is not interested in returning to the terms of a memorandum of understanding reached with Iran in June. Brent rose more than \$2 intraday.
- **▼ The preceding two-day slide had a diplomatic cause.** On 26 August Iran's Revolutionary Guard spokesman told Tasnim that a deal had been struck with **Oman** over Hormuz waters and revenue; a senior Iranian source told Reuters it was not yet finalised. Both sides announced agreement on a "temporary joint maritime corridor" and a joint mine-clearing project. Note the disagreement between the two Iranian accounts — we are reporting the claim, not the fact.
- **◆ "Operation Economic Outcast".** Treasury Secretary Scott Bessent announced on Monday 24 August what he called the single greatest financial offensive ever mounted against Iran, targeting all revenue sources including oil and threatening third countries. Markets read the execution as milder than the billing — the White House spared Iran's trading partners from tougher secondary measures — which is why crude initially fell.
- **◆ Iran's own position is not unified.** President Masoud Pezeshkian said the country "cannot continue with war forever", while the security establishment threatened to halt flows through Hormuz entirely and warned that ships violating transit rules could be detained or confiscated.
- **▼ Semiconductor tariffs are under active consideration.** Politico reported the administration is weighing a new round, with one approach extending duties beyond chips to laptops, gaming consoles and data-centre servers, despite industry warnings it would hamper US AI competitiveness. Existing Section 301 tariffs of 10-12.5% on 60 countries took effect 24 July, China at the higher 12.5% — the direct cause of July's record import pull-forward.
- **◆ An emergency order on grid equipment.** President Trump signed an order banning US purchase or installation of certain foreign-made bulk-power-system electrical equipment and associated software on cybersecurity grounds, reported by Bloomberg late on 26 August. Solar and grid names moved on it.
- **▼ Catastrophic flooding killed more than 350 people in Nepal and Tibet with over 1,300 missing, per AP.** Tropical Storm Dolly formed in the Atlantic.

12 Overnight setup — what Asia opens into

INSTRUMENT	LEVEL	CHANGE	VOLUME	STATUS
ES	7,742.50	+0.68%	1,278,014	110% of 10-day avg · Thursday session
NQ	29,695.75	+1.39%	560,772	111% of 10-day avg · Thursday session
YM	53,621.00	+0.19%	56,044	100.1% of 10-day avg · Thursday session
RTY	3,019.00	+0.30%	130,409	104% of 10-day avg · Thursday session
USD/JPY	159.39	0.00%	—	~1h 07m of session · change is noise
USD/KRW	1,381.73	−0.28%	—	Won firmer · widest FX range in the set
USD/TWD	31.6426	−0.59%	—	Biggest FX move · TWD firmest on semis
USD/CNH	6.7188	−0.00%	—	1.2-pip hour · sits at a 52-week low of 6.7146
EUR/USD	1.1652	−0.00%	—	7-pip hour · Hedgeye long euro
Gold (spot)	4,602.01	+0.02%	—	Session 1h old · Thu future settled +0.23%
Silver (spot)	69.21	−0.07%	—	Session 1h old · Thu future settled +2.07%
Copper (spot)	6.5519	−0.04%	—	0.3c hour · Thu future settled −0.15%
WTI	83.53	+1.58%	—	Thursday session · reversed the breakdown
Brent	88.52	+0.77%	—	Thursday session
Bitcoin	80,290	+1.62%	—	Genuinely live · 24/7
Ether	2,511.29	+0.19%	—	Genuinely live · 47.3% below its high

- **The US hands Asia a semiconductor tape and nothing else.** XLK +3.16% and SOX +2.33% against ten falling sectors is the cleanest possible instruction to Asian markets: buy the chip complex, sell the rest. Korea and Taiwan are the direct beneficiaries; Japan's index is more diversified and will struggle to import the whole move.
- **Previous Asian closes — all marked as prior-session levels, not live.** Nikkei 225 **66,131.76** (−0.20%), KOSPI **6,912.38** (+1.53%), Hang Seng **25,565.75** (−0.34%), Shanghai Composite **3,956.57** (+1.13%), ASX 200 **9,038.20** (−0.98%), Sensex **76,933.59** (−0.70%). Korea and China already rose yesterday; Japan, Hong Kong and Australia did not.
- **Korea is the most interesting setup and the most conflicted.** KOSPI rose 1.53% yesterday, the won firmed 0.28% overnight, and the US semiconductor tape was up 2.33%. But Keith explicitly declined to buy Korea on the Macro Show: it moved to bullish medium-term TRADE after holding 67.99/68 for two sessions, yet the Bank of Korea is tightening into a coming slowdown and Hedgeye's forward Quad outlook moves Korea back toward **Quad 4**. His formulation was that the signal means "don't short it" — and that if it fails to establish bullish TREND, Korea could move to the top of the short list. A market being handed a strong external tape while its own macro deteriorates is exactly where the two signals part company.
- **Taiwan should open firmest.** USD/TWD fell 0.59%, the largest move in the FX set, and the island's index is the most concentrated semiconductor expression in Asia.
- **China now has a Hedgeye tailwind for the first time in a while.** The Shanghai band's TREND signal was upgraded bearish→neutral and Keith separately noted China had moved back to bullish TRADE, calling it "a new development" — a change from Wednesday, when the Macro Show still had China bearish on both trade and trend. Shanghai closed at 70.3% of its band.
- **Japan carries the widest uncertainty in the entire Hedgeye set.** The Nikkei band widened 914 points overnight — floor cut 729, ceiling raised 185 — leaving the index at just 39.4% of a much wider range. With USD/JPY at 159.39 and the US 30-year at 5.195%, the yen is the instrument to watch, not the index.
- **Single instrument most likely to move: the KOSPI semiconductor complex** — it has the strongest external tailwind, the firmest currency, and a domestic macro story that argues the other way. Second, the yen, for the reason above.

13 AI watch

- **The financing structure is the story nobody led with.** NVIDIA announced partnerships with **Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs and KKR to mobilise over \$500bn of third-party capital** for the AI infrastructure build, subject to definitive agreements. When the primary vendor starts arranging the financing for its own customers' purchases, the demand signal and the credit signal stop being independent of each other. That is worth watching regardless of what one thinks of the demand.
- **Purchase commitments more than doubled to \$279bn from \$119bn** quarter on quarter, with inventories at \$31.6bn against \$21.4bn in January. Accounts receivable rose to \$63.1bn from \$38.5bn and long-term debt to \$32.4bn from \$7.5bn. The balance sheet is being levered into the build.
- **Amazon will buy 2 million additional NVIDIA GPUs** over the next two years and adopt the new Vera CPU, per Bloomberg on 26 August. Amazon's shares fell 1.54% on Thursday — the largest fall in the Magnificent Seven.
- **Salesforce and Anthropic launched "Claudeforce"**, an expanded partnership putting Claude's reasoning inside Salesforce's enterprise harness with data, workflows, business logic and governance accessible to agentic systems. Reuters credited the software rally partly to this calming fears of AI disintermediation.

- **NVIDIA is reported to have agreed to acquire Hugging Face for \$12.9bn.** This comes from The Information via a single relayed morning note and we have *not* confirmed it against a company release. Treat it as a single-sourced report.
- **Sovereign and platform deals disclosed alongside the print:** a multi-year next-generation memory partnership with **SK hynix**; gigawatt-scale Korean infrastructure with SK Telecom, NAVER and Brookfield; Japan's national AI infrastructure with the government; Vera CPUs for SpaceXAI; Microsoft's RTX Spark one-petaflop desktop superchip; and Apple Private Cloud Compute now running NVIDIA GPUs with confidential computing. Oracle Cloud Infrastructure is running Vera Rubin racks in production — worth holding against Oracle's 56% drawdown.
- **The political constraint is arriving faster than the capital.** Data-centre moratoriums are in place in Texas, Pennsylvania and Michigan with more states pushing back. Piper Sandler's read is that data centres become a live issue into the November midterms. Power, not silicon, may be the binding constraint on this build.
- We found no verifiable major model release on 26–27 August. Aggregator sources made claims we would not print.

14 Beyond the markets

- **The Treasury has intervened in markets twice this year** — once using a Fed facility to help support the Japanese yen, and once to support long-term Treasury bonds. That is a remarkable pair of facts to have become background noise, and it is the unspoken context for a Fed Chair's first Jackson Hole address.
- **Retail diesel is up \$1.944 a gallon year on year** and petrol \$0.938. Distillate inventories are 14% below their five-year average. Every good moved by road in the United States is carrying that, and it will show up in goods inflation with a lag regardless of what the PCE deflator did in July.
- **The strategic petroleum reserve has fallen 114.5m barrels in twelve months to 289.7m.** Fortune's framing — fewer than 300 million barrels left — is the kind of number that matters only until the day it matters enormously.
- **468 S&P 500 companies have reported year-on-year EPS acceleration of +50%.** That figure, from Hedgeye, sits oddly beside an equal-weight index that fell on Thursday and a NYSE Composite that fell too. Aggregate earnings acceleration and broad price participation have come apart.
- **Oracle is 56.1% below its 52-week high.** A year ago it was among the most crowded AI trades in the market. It is now a value dispute, and almost nobody is writing about it.
- **Ether is 47.3% below its 52-week high and Bitcoin 36.4%.** The digital-asset complex has been in a severe drawdown through a period in which the AI trade made new records. Whatever correlation story was told about those two assets in 2024 has not survived 2026.
- Dolly Parton died this week, aged 80. Keith McCullough named the current Quad regime "Dollylocks" in her honour in Wednesday's Early Look — which is how a piece of market jargon enters the record.

15 Appendix — stock cards

NVDA · NVIDIA**227.98 +8.74%**

Cap \$5.517T · Hedgeye range \$207-230, at 91.2% · 3.6% below 52w high \$236.54 · Next: none scheduled

Q2 FY27 revenue \$96.2bn vs \$92.3bn; Q3 guided \$108bn vs \$104.9bn; FY28 growth ~70% vs Street ~40-52%. Gross margin guided down to 74% on memory cost. Contributed roughly nine-tenths of the S&P's gain by itself.

CRM · SALESFORCE**252.05 +22.58%**

Best day in six years · largest Dow contributor · Next: none scheduled

Adjusted EPS \$5.90 vs \$3.27; full-year guidance \$16.67-16.71 vs \$14.14. Announced "Claudeforce" with Anthropic. The single largest reason the Dow closed green on a day ten sectors fell.

ORCL · ORACLE**151.94 +2.06%**Cap \$0.438T · **56.1% below 52w high \$345.72** · Next: none confirmed

Running Vera Rubin racks in production per NVIDIA's own release, and still more than halved from its high. The clearest evidence that the market is separating the seller of AI compute from the buyers of it.

MU · MICRON**935.39 -0.32%**

Cap \$1.056T · range \$906.89-\$968.71, a 6.6% swing · 25.5% below 52w high · After hours -1.40%

NVIDIA guided margins down explicitly on memory pricing, which should be a Micron positive. It fell anyway, then fell further after hours. NVIDIA's new SK hynix memory partnership is one unverified explanation.

AVGO · BROADCOM**371.54 +4.49%**Cap \$1.768T · 24.9% below 52w high \$495.00 · Next: **earnings 2 September**

Second-best large semiconductor on the day. Prior guidance pointed to Q3 revenue +84% to \$29.4bn. Next Wednesday is the most consequential read-through for the complex after NVIDIA.

OKTA · OKTA**172.91 +28.63%**

Hedgeye long since 26 May 2026 · Next: none scheduled

Q2 EPS \$1.05 vs \$0.96, revenue \$805m vs \$793m, full year raised. Keith published the position and its buy date at 19:54 GMT+8; the stock closed up 28.6% the same session. The timestamp is the point.

WDAY · WORKDAY**193.57 +1.48%**Cap \$0.048T · **-5% after hours** · reported after Thursday's close

Revenue \$2.649bn (+12.8%), adjusted EPS \$2.75, full-year subscription guidance raised to \$9.94-9.95bn, AI over 25% of new contract value. Sold off anyway on the subscription guide — the after-hours pattern all night.

MRVL · MARVELL**241.45 -1.49%****-2% after hours** · Hedgeye bullish (26 Aug Macro Show) · reported after Thursday's close

Revenue \$2.739bn (+37%), data-centre growth accelerating to +46%, Q3 guided \$3.15bn against \$3.04bn. A clean beat-and-raise that sold off after a roughly 170%+ year-to-date run.

TSLA · TESLA**354.81 +2.60%**Cap \$1.401T · 28.9% below 52w high \$498.83 · **Hedgeye short**

Rose on a day Hedgeye reiterated the short. Keith dismissed the idea that a Tesla/SpaceX combination would be bullish, arguing the acquisition could itself be negative, and said the signal remains bearish regardless of narrative.

META · META PLATFORMS**571.10 -0.87%**Cap \$1.455T · **27.8% below 52w high \$790.80** — worst in the Mag7 · range \$567.62-\$588.39

A 3.7% intraday range closing near the low, on a day the Nasdaq rose 1.57%. Hedgeye is not long Meta and has said so repeatedly. The deepest drawdown among the mega-caps and rarely discussed as such.

16 About this edition

- **Covers** — the settled US cash session of Thursday 27 August, the after-hours tape to 18:00 ET, the Globex session to capture, and the full Hedgeye evening publication set. Asian cash markets had not opened.
- **Captured** — **06:07:30-06:07:33 GMT+8**, a 2.3-second window. TradingView returned 96 of 96 instruments. Yahoo Finance aborted on a rate-limit circuit breaker and contributed nothing, so the machine capture is single-sourced; an independent manual cross-check was performed instead and is documented in section 18.
- **Unusual this run** — Yahoo's failure, and the clock. The task fired at 06:07, seven minutes after Globex reopened at 06:00 GMT+8, so there is effectively no overnight futures tape. Spot FX and spot metals rolled at 05:00 and carry only ~1h 07m of session, making their change columns noise; they are marked ♦ throughout.
- **Settled vs live** — cash equities, Treasury yields and the VIX are Thursday settles, 2h 07m old at capture. Index, energy and metals *futures* carry Thursday's Globex session. Spot FX and spot metals are ~1 hour old. Asian and European index levels are prior-session closes and marked as such. **Only crypto was genuinely live.**
- **Hedgeye edition** — **FULL**. The live risk-range set is the Early Look of **27 August, 19:54 GMT+8**, "Claude Says #Quad1" by Keith McCullough, superseded by Monday's note. Also read: the prior Early Look of 26 August (for the band diff), both Macro Show summaries (26 and 27 August), the MOMO Tracker and Crypto Quant headlines, and Signal Strength Stocks.

- **Quad path** — **#Quad1**, branded "Dollylocks". The only path printed anywhere in the material read was **July monthly #Quad4 → September #Quad1**. No three-period path notation was published in either Early Look or either Macro Show, and the US Monthly Quad Forecast that carries it was not reachable. **No change is asserted.**
- **Not available** — the August Kansas City Fed manufacturing survey; consensus forecasts for the July advance goods trade balance and for today's Chicago PMI and Michigan sentiment; official WTI and Brent settlement prints; July wholesale and retail inventories; and the image-based bodies of the MOMO Tracker and Crypto Quant.

17 Sources

Prices. TradingView bulk scanner, 96 of 96 instruments, 06:07:30-06:07:33 GMT+8. Yahoo Finance was queried concurrently and aborted on a rate-limit circuit breaker after five consecutive HTTP 429s. Independent verification of Thursday's closes came from the Yahoo Finance close-of-session market bar and from Reuters' 16:00 ET market wrap; the prior session's closes came from the Hammerstone/Investrade morning preview of 27 August.

Hedgeye. Early Look of 27 August ("Claude Says #Quad1") and 26 August ("#Quad1 Dollylocks"), both by Keith McCullough; The Macro Show summary notes for 27 and 26 August, which are AI-enhanced and carry their own error caveat; the MOMO Tracker of 27 August with its subsequent correction; Crypto Quant of 27 August; and Signal Strength Stocks of 27 August.

Macro and policy. Department of Labor for jobless claims; US Census Bureau advance economic indicators for the July goods trade balance; Bureau of Economic Analysis for July PCE via CNBC; the Energy Information Administration weekly petroleum status report for the week to 21 August; Kiplinger's economic calendar for the week of 24-28 August; Axios and the Federal Reserve's own July FOMC press-conference transcript on Jackson Hole; Reuters and CNBC for the Schmid and Goolsbee remarks.

Session narrative and single stocks. Reuters, CNBC, Investing.com's after-hours movers wrap, Benzinga, Motley Fool and the Hammerstone/Investrade morning and mid-morning notes. Company primary sources were used where available: NVIDIA's Q2 FY2027 release as filed with the SEC, Workday's and Marvell's investor-relations releases, and Netflix's stock-split announcement.

Commodities, geopolitics and AI. Reuters and the Wall Street Journal via Reuters on the Iran headline; Al Jazeera and CNN on Operation Economic Outcast; Fortune on Hormuz and the petroleum reserve; Politico on semiconductor tariffs; Bloomberg on the grid-equipment order and the Amazon GPU purchase; Salesforce's own announcement on Claudeforce; Piper Sandler via Investrade on data-centre moratoriums; The Information, single-sourced and relayed, on the reported Hugging Face acquisition; Associated Press on the Nepal and Tibet floods.

18 Data-confidence**CROSS-CHECKS PASSED**

- **All four cash indices reconcile exactly** against Wednesday's independently sourced closes. S&P $7,675.70 + 55.29 = 7,730.99$ (capture 7,730.99, difference 0.0000). Dow $53,463.88 + 105.56 = 53,569.44$ (difference 0.0000). Nasdaq $26,130.20 + 411.16 = 26,541.36$ against a capture of 26,541.35 (difference 0.0033, a rounding artefact in the published point change). Russell $3,005.90 + 8.44 = 3,014.34$ (difference 0.0002). Percentage changes recomputed from those bases match TradingView's own to four decimal places in every case.
- **Two independent sources confirm the closes.** The Yahoo Finance close-of-session bar gave S&P 7,730.99 / +55.29, Dow 53,569.44 / +105.56, Nasdaq 26,541.35 / +411.15 and Russell 3,014.34 / +8.44 — an exact match on all four. Reuters' 16:00 ET wrap gave 7,730.73, 53,564.21 and 26,540.78, each explicitly flagged as preliminary and each 0.26, 5.2 and 0.6 points below the finals respectively, which is the normal preliminary-to-official gap. **This recovers genuine two-source validation on the most important rows despite the Yahoo machine leg failing.**
- **Futures-to-cash basis is normal and positive across the board**, confirming the cash prints are true settles rather than mislabelled intraday marks: ES +11.51 (+0.149%), YM +51.56 (+0.096%), RTY +4.66 (+0.155%). No dislocation anywhere in the set.
- **The Hedgeye band diff was performed against the actual prior note**, not assumed. The 26 August Early Look was located at feed item 186433 after the category page's pagination failed as it has before, and all nineteen band pairs were differenced directly. Four TREND changes and eighteen band moves were measured, not inferred.
- **Risk ranges were measured on the series Hedgeye names.** Gold, silver and copper on spot (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD); crude and natural gas on the continuous contract (NYMEX:CL1!, NYMEX:NG1!). Using futures instead would have put gold at a materially different band position and misstated silver badly, since Thursday's silver future settled +2.07% while spot shows -0.07%.
- **The 2-year yield was captured directly** (TVC:US02Y, 4.234%) rather than inferred from Hedgeye's own 10s2s spread, which would have been circular. Curve arithmetic self-consistent: 10s2s +44.2bp, 30s10s +51.9bp, 10y-3m +90.0bp.
- **The Netflix price was verified rather than treated as an error.** A ~\$80 print against a \$126.71 52-week high looked wrong; it is correct, following a ten-for-one forward split with split-adjusted trading from 17 November 2025.

KNOWN CONFLICTS AND WEAK MARKS

- **The NVIDIA index-contribution figure is an estimate and the decimal is not robust.** NVIDIA added roughly \$443bn of capitalisation on +8.74%. At the 7.3% S&P weight Keith McCullough stated on 26 August, that is +0.638% of index contribution against an actual index gain of +0.720% — about 89% of the day. At an 8.0% weight it would be +0.699%, or 97%. The weight has certainly risen since he said it, and we did not have an independent same-day index weight. **The conclusion that NVIDIA delivered the overwhelming majority of the S&P's gain is robust across every plausible weight; the specific percentage is not.**
- **The spot-versus-futures divergence in metals is a clock artefact, not a market signal, and could easily be misread.** Silver spot shows -0.07% while Thursday's COMEX silver future settled +2.07%; gold spot +0.02% against a future at +0.23%. Spot rolled at 05:00 GMT+8 and carries ~67 minutes; the futures carry Thursday's full session. Both numbers are correct and they are not comparable. All affected rows are marked ♦.
- **Treasury yield changes are derived from TradingView's open-to-last on the settled bar**, not from an independent settlement print. The 10-year at 4.676% sits inside the 4.658%–4.67% intraday range two separate vendor notes reported during Thursday's session, so the level is corroborated; the 2.7bp change figure is single-sourced. A \$44bn seven-year auction cleared at 13:00 ET that day and we have no auction tail.
- **Tapestry's 5.38% fall has no verified cause.** We searched for a stock-specific catalyst dated 27 August and found none; the verified selloff was 13 August on full-year guidance. The brief states this openly rather than attributing the move to the broad de-risking as though that were established.
- **The memory-complex weakness is unexplained and we have not papered over it.** Higher memory pricing — which NVIDIA cited as the reason for guiding gross margin down — should benefit Micron, Western Digital and Sandisk. All three fell. NVIDIA's new SK hynix partnership is a plausible competitive read-across but no source asserted it, so it is flagged as our inference and nothing more.
- **Two Iranian accounts of the Oman agreement conflict.** The Revolutionary Guard spokesman told Tasnim a deal had been struck; a senior Iranian source told Reuters it was not finalised. Both are reported as claims attributed to their sources; neither is stated as fact.
- **The reported NVIDIA acquisition of Hugging Face for \$12.9bn is single-sourced** to The Information via a relayed morning note, with no company confirmation. It is labelled as such in section 13 and no inference is drawn from it.
- **Several Oracle, Broadcom and Palantir data points circulating in secondary summaries were excluded** because they could not be traced to a primary release. Oracle's OCI revenue growth and capital-expenditure figures in particular appear in aggregator copy we would not print.
- **Market capitalisations move with price** and are TradingView's market_cap_basic field at the capture instant. The Mag7 cap-weighted figures (+2.24% including NVIDIA, +0.26% excluding it) are computed from those fields and inherit any staleness in share counts.

KNOWN GAPS

- **The Yahoo Finance machine leg contributed nothing.** It aborted after five consecutive HTTP 429s on a rate-limited IP, costing about two seconds rather than stalling the run. The reconciliation table therefore reads 0 matched, 0 minor, 0 divergent, **57 single-sourced. There are no divergent rows to resolve because no second machine source ran** — that is an absence of comparison, not a clean reconciliation, and it is why the manual cross-check above was performed instead.
- **The MOMO Tracker and Crypto Quant are image-based and their bodies could not be read.** Only the headlines were extractable: "Mag7 (-0.1%), NVDA (+6% pre-mkt) = BULLISH, NazVol Joins Investable Bucket" (27 Aug 20:31 GMT+8, with a correction subsequently issued) and "BTC (+1.6%), ETFs WTD = +\$1.36B, The Floor (\$62-65K), The Ceiling (\$83K-\$86K) &

(re)Accumulation" (27 Aug 19:51 GMT+8). **These are precisely the publications that would carry a position change, so absence of a position change here is not evidence there was none.**

- **The August Kansas City Fed manufacturing survey could not be obtained.** Search returned the August 2025 release, which was deliberately not used to avoid printing a year-old number as current. Consensus forecasts for the July advance goods trade balance and for today's Chicago PMI and final Michigan sentiment were also unobtainable, which matters because Michigan's inflation-expectations component is exactly the sort of series a hawkish Fed cites.
- **Official WTI and Brent settlement prints for 27 August were not verified.** Scraped aggregator values conflicted with each other and with Reuters, which stated plainly that Brent rose more than \$2 on the day. The capture values are used and the conflict is disclosed rather than resolved.
- **No verifiable AI model releases were found for 26–27 August,** and no Reuters or AP wire story dated 26–27 August on Russia-Ukraine, US-China beyond tariffs, or OPEC. Those sections are silent rather than padded.
- **Asian and European cash markets were shut at capture.** Every level in section 12's index bullets is a prior-session close and is labelled so. The Shanghai, Nikkei and DAX band positions in section 4 are computed against those prior closes and will be stale by the time those markets trade.
- The IGV band could not be positioned because the instrument was not in the capture set. The band move itself — floor raised \$1.00, width narrowed to 6 — was read directly from the two notes.

TIMING & UNVERIFIED

- **Capture window 06:07:30-06:07:33 GMT+8 — 2.3 seconds.** Comfortably inside the ten-minute standard. No row was topped up later, so no row carries a different capture time.
- **Age of the stalest rows.** US cash equities, Treasury yields and the VIX settled at 16:00 ET, **2 hours 7 minutes** before capture. Index and commodity futures carry Thursday's Globex session, which ended at 17:00 ET, **1 hour 7 minutes** before capture, with only 7 minutes of the new session behind them. Spot FX and spot metals carry **1 hour 7 minutes**. Asian and European index closes are between **13 and 17 hours** old. Only Bitcoin and Ether were continuously live.
- **The change columns for spot FX, spot metals and the futures rows do not describe this morning.** A 12-pip hour in USD/JPY and a 0.3-cent hour in copper are noise; the futures changes belong to Thursday's session and are labelled that way in section 1. Nothing in this brief should be read as an overnight move except the two crypto rows.
- **The risk ranges will be superseded by Monday's Early Look.** Hedgeye does not publish at weekends, so tonight's set — if one lands around 19:25–21:00 GMT+8 — becomes the live set for the next edition, and every band position in section 4 will be recomputed against it.
- **The single largest event in this document has not happened yet.** Fed Chair Kevin Warsh speaks at Jackson Hole at 22:00 GMT+8 today, his first as chair, with the funds rate at 3.50–3.75%, headline PCE at 3.7%, and the market debating a hike rather than a cut. Every rate, currency and equity level here predates it.
- **Verify live prices before acting on anything in this document.** This is a pre-market brief assembled from a settled session and a seven-minute-old futures market. It is information only and not investment advice.